

expenditure cannot exceed aggregate income. It means, an excess of private investments over savings ($S - I < 0$) needs to be compensated by public savings ($T - G > 0$). However, open economies can borrow from the rest of the world. Thus it can sustain excess of expenditure over income and excess of investments (I) over private (S) and public savings ($T - G$). International trade and capital flows allow countries running current account deficits to draw on the savings of other countries running current account surpluses.

Check Your Progress 1

- 1) Use the national income identity for an open economy and show that in a country running a trade deficit (i.e., $NX < 0$): (a) aggregate expenditure must be greater than GDP, and (b) national savings (i.e., sum of private savings and public savings) must be less than investments.

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- 2) Use the national income identity to bring out at least two fundamental differences between open and closed economies.

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4.3 BALANCE OF PAYMENTS AND EXCHANGE RATE

The Balance of Payments (BOP) of a country is a record of all its transactions with foreigners during a given period (typically one year). The transactions include those involving purchase and sale of goods, services, physical and financial assets, as well as transfer payments.

4.3.1 Balance of Payments

The BOP account has two main components, viz., the current account and the capital account.

Current Account: The current account of BOP records receipts from and payments to foreigners due to international trade in goods and services (including factor services). In the current account transactions involving *inflows* of foreign

exchange (e.g. exports) are a credit and those involving *outflows* of foreign exchange (e.g., imports) are a debit entry. The current account comprises two main components: the balance of trade and the balance on invisibles. Transactions involving trade in services, factor incomes and transfers are also referred to as 'invisibles' in the current account. These are further explained below.

The balance of trade or merchandise trade balance is the difference between exports and imports of goods by a country and it may be positive, negative or zero. A negative balance of trade or a trade deficit indicates that the country's imports of goods exceed exports; a positive trade balance indicates the country has a trade surplus, with exports of goods exceeding imports.

Trade in services (e.g., India's software exports) is a part of invisibles in the current account. The balance of trade in services captures the difference between a country's service exports and imports and it may also be positive or negative, depending on whether the country is a net exporter or net importer of services.

Factor incomes include *net investment income from abroad* which measures investment earnings from abroad earned by Indians *minus* foreigners' earnings from their Indian assets. Indian residents may receive investment income, such as dividends and interest, on the foreign assets they hold while foreign residents receive investment income on the Indian assets they possess. The former is a credit (inflow of foreign exchange) while the latter is a debit entry (outflow of foreign exchange) in the current account.

Unilateral Transfers, that are overseas payments made without any *quid pro quo*, are also recorded in the current account. These include assistance by foreign governments during war or natural calamity (foreign aid), workers' remittances (e.g., money sent by overseas Indians to their families in India), personal gifts, donations etc. The *net unilateral transfers* are transfers received by Indians from abroad minus similar transfers sent to foreigners from India. For many developing countries workers' remittances are an important source of foreign exchange earnings.

The current account balance is the sum of (i) the balance on merchandise trade and (ii) the balance on invisibles (which comprises balance on services trade, net investment income and net transfers). When total foreign exchange receipts on account of all the transactions recorded in the current account are greater than total payments, the country has a current account surplus. In case the foreign exchange payments exceed the receipts, the country has a current account deficit.

Note that even if a country has a trade deficit it could have a current account surplus, if it has a positive and very high net invisibles balance. This can be seen in many countries that are net recipients of large unilateral transfers and remittances. For example, remittances received from Indian workers employed abroad are an important source of foreign exchange earnings for India. India is the largest recipient of remittances in absolute figure (\$87 billion in 2021) while

in terms of percentage of GDP Lebanon is the largest recipient that contributed 54 per cent of GDP in 2021.

Capital Account: The capital account of the BOP includes transactions involving cross-border purchase and sale of real and financial assets. The asset in question could be physical assets like land, factories, houses or financial assets like stocks and bonds. In the capital account each transaction is recorded twice, once as a credit and once as a debit entry, thereby capturing the two aspects of each transaction. E.g., purchase of a foreign financial asset such as foreign government bond or shares of a foreign firm by a domestic resident involves an asset import and a capital outflow (payment made by the domestic resident for the foreign asset).

Broadly two types of capital flows are recorded in the capital account – debt creating and non-debt creating flows. For example, when domestic agents borrow from foreign financial institutions, the country experiences a debt creating capital inflow, as this loan has to be repaid at a future date. However, foreign firms investing in the domestic country (e.g., foreign direct investment or FDI), involve a non-debt creating capital inflow, as this does not create any commitment for repayment for the recipient nation. Capital flows can also be classified on the basis of the duration involved. For example, foreign institutional investors (FIIs) purchasing shares of domestic firms, involves a short term capital inflow (also known as foreign portfolio investment or FPI). The FIIs may sell the equity and withdraw their funds at a short notice. Such withdrawal of foreign funds would involve a capital outflow. Typically, investment by foreign firms in country's production sector (e.g., Greenfield FDI) involves longer term capital inflows that are not likely to be withdrawn at short notice unlike investment in the financial sector (e.g., FPI).

When capital inflows exceed capital outflows, the country has a capital account surplus. In the opposite case, when outflows exceed inflows it has a capital account deficit.

In the current account, in general, transactions involving the inflow of foreign exchange are recorded as a credit entry, with the corresponding debit entry appearing in the capital account. Therefore a surplus (or deficit) in current account is mirrored in a corresponding deficit (or surplus) in the capital account. If a country has a current account deficit, this must be financed either by selling assets or by borrowing, so there must be a corresponding surplus in the capital account. So a current account deficit is financed by net capital inflows, either on account of the private sector or the government sector or both.

Overall BOP Balance: Every transaction is recorded twice in the BOP account, once as a debit and once as credit, as per the principles of double entry bookkeeping. Therefore in an accounting sense the BOP is always balanced. However, in practice, this is not observed, primarily because of problems related to data collection. There are time lags involved in the international transactions; e.g., data on exports is collected from customs, at the time goods are shipped,